TEACHER GUIDE

Cambridge International AS & A Level
Business (9609)

Stakeholders and ethics



1 Business and its environment (AS Level)
1.5 Stakeholders in a business; 1.4.2 Objectives and business decisions (ethics)

A revision lesson. Pupils run a car dealership in firms of four and revise stakeholders and ethics on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Which view of firm

Round 1

The board cuts staff training to pay a higher dividend this year.

Which view of the firm does this follow?

- **A** Paternalistic management
- **B** Corporate social responsibility
- **C** The stakeholder view
- **D** The shareholder view

ANSWER

✓ **The shareholder view**

Why: Putting the owners' return above other groups is the shareholder view.

2 Benefits of CSR

Round 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

- **A** A better local reputation
- **B** Fewer laws to follow
- **C** Higher profit this year
- **D** Lower costs this year
- **E** Easier to recruit staff

ANSWER

✓ **A better local reputation**
✓ **Easier to recruit staff**

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

3 Dividend share

Round 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

- **A** Profit £80,000, dividends £40,000
- **B** Profit £200,000, dividends £50,000
- **C** Profit £150,000, dividends £15,000

ANSWER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Topic tasks

4 CSR and profit

Round 2

Road-safety lessons in local schools.

Effect on profit? Minus allowed.

Cost of the lessons, a year	**£9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**£1,900**

ANSWER

£2,400

6 × £1,900 − £9,000 = £2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

5 Does green pay?

Round 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

Which choice raises profit on these figures, and why?

A Keep the current firm

B Switch to the green firm

ANSWER

✔ **Keep the current firm**

Why: 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

6 Treat the residents

Round 3

Residents who care about traffic from your new showroom win the council's support.

How should you now treat the residents?

A Consult them closely

B Send them a newsletter

C Ignore them: they have no say

D Wait for the council to decide

ANSWER

✔ **Consult them closely**

Why: Their interest was high; with the council behind them their power is too.

Final questions

Each pupil answers 6 final questions on stakeholders and ethics. They come from these 11 questions.

1. A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
   ✔ **Test understanding, show total cost and risks, fix bad incentives**

2. A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
   ✔ **Stop affected sales and investigate independently**

3. Customer finance documents are exposed online. Which action is least defensible?
   ✔ **Suppress evidence so the firm can delay informing affected people**

4. A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
   ✔ **Workshop staff: weeks of unplanned recall work displacing jobs**

5. A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
   ✔ **Stakeholder: weigh every affected group; shareholder: owners' return first**

6. A dealer group plans to close a loss-making rural branch. Which two stakeholders are most likely to conflict over it?
   ✔ **Shareholders and local employees**

7. A dealer could pay a bigger dividend or fit solar panels that only pay back in nine years. Which argument supports the panels?
   ✔ **Lower long-run costs and a better reputation**

8. Which of these is an external stakeholder of a dealership?
   ✔ **The local community near the site**

9. A dealer group plans to move a town-centre showroom to a cheaper out-of-town site. Which stakeholder conflict is most likely?
   ✔ **Shareholders gain from lower costs; local staff may lose jobs**

10. A dealer pays for free electric-vehicle charging points for its town, although this cuts short-term profit. What does this decision best show?
    ✔ **Corporate social responsibility**

Final questions

11 A dealer group’s board weighs the interests of staff, customers and the local community, not only its owners, when it decides. Which approach is this?

✔ **A stakeholder approach**